

**LAW & MOTION CALENDAR
TENTATIVE RULINGS**

August 6, 2026

**Judge R. Shawn Nelson
Department C10**

Department C10 hears law and motion on Thursdays at 10:00 a.m. and 1:30 p.m.

Court reporters: Official court reporters are not provided in this department for any proceedings. If the parties desire the services of a court reporter, the parties should follow the procedures set forth in the Privately Retained Court Reporter Policy on the court's website at www.occourts.org.

Tentative rulings: The court endeavors to post tentative rulings on the court's website by 9:00 a.m. the day of the hearing. Tentative rulings may not be posted in every case. Please do not call the department for tentative rulings if tentative rulings have not been posted. The court will not entertain a request to continue a hearing or the filing of further documents once a tentative ruling has been posted.

Submitting on tentative rulings: If all counsel intend to submit on the tentative ruling and do not desire oral argument, please advise the Courtroom Clerk or Courtroom Attendant by calling (657) 622-5210. Please do not call the department unless all parties submit on the tentative ruling. If all sides submit on the tentative ruling and so advise the court, the tentative ruling shall become the court's final ruling and the prevailing party shall give notice of the ruling and prepare an order for the court's signature if appropriate under Cal. R. Ct. 3.1312.

Appearances and public access: Appearances, whether in person or remote, must comply with Civil Procedure Code section 367.75, California Rule of Court 3.672, Orange County Superior Court Local Rule 375, and Orange County Superior Court Appearance Procedure and Information—Civil Unlimited and Complex (pub. 9/9/22).

Unless the court orders otherwise, remote appearances will be conducted via Zoom. All counsel and self-represented parties appearing via Zoom must check in through the court's civil remote appearance website before the hearing begins. Check-in instructions are available on the court's website.

The public may attend hearings by coming to court or via remote access as described above.

Photographing, filming, recording, and/or broadcasting court proceedings are prohibited unless authorized pursuant to California Rule of Court 1.150 or Orange County Superior Court Local Rule 180.

Non-appearances: If nobody appears for the hearing and the court has not been notified that all parties submit on the tentative ruling, the court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling.

NO.	CASE NAME	MATTER
10:00 a.m		
1	Farzan S. Rajput, M.D., Inc. vs. Newport Irvine Center, LLC	Attorney Richard T. Lobas moves for pro hac vice admission. For the following reasons, the motion is GRANTED . Foreign attorney Lobas's application is verified and complies with the requirements of California Rules of Court, Rule 9.40. (See ROA # 42 [Ver. App.]) The moving attorney to give notice.
1:30 p.m.		
1	Dieckman vs. Tran	Defendants Kaiser Foundation Health Plan, Inc., Kaiser Foundation Hospitals, Southern California Permanente Medical Group, Bich-Van Thi Tran, M.D., and Kenneth Ankai Liu, M.D.'s motion to compel

Plaintiffs Earl J. Dieckman II and Jennifer Dieckman to arbitration and stay action is **GRANTED**.

Page Limit Violation- Cal. R. Ct. rule 3.1113

As a preliminary matter, Plaintiffs' Opposition is 22 pages, not including the "Notice" page, or the declarations attached.

Cal. R. Ct, rule 3.1113, subd. (d), provides: "Except in a summary judgment or summary adjudication motion, no opening or responding memorandum may exceed 15 pages..." (emphasis added).

According to Cal. R. Ct, rule 3.1113, subd. (g), "A memorandum that exceeds the page limits of these rules must be filed and considered in the same manner as a late-filed paper."

Accordingly, this court will only consider the first 15 pages of Plaintiffs' Opposition brief.

Statement of Law

A court shall order arbitration if it determines an agreement to arbitrate exists, unless the moving party waived arbitration, grounds exist for revocation of the agreement, or a party to the agreement is also a party to a pending action involving the same transaction with a third party and there is a possibility of conflicting rulings on a common issue of law or fact. (Code Civ. Proc., § 1281.2.) If the court orders arbitration, it shall, upon motion of either party, stay the action or proceeding until the completion of the arbitration, or until such earlier time as the court specifies. (Code Civ. Proc., § 1281.4; *Thomas v. Westlake* (2012) 204 Cal.App.4th 605, 620.)

There is a strong public policy favoring arbitration, and any doubts regarding arbitrability are resolved in favor of arbitration, "unless it can be said with assurance that an arbitration clause is not susceptible to an interpretation covering the asserted dispute." (*Rice v. Downs* (2016) 248 Cal.App.4th 175, 185.) However, ordinary principles of contract interpretation apply, meaning the court must determine whether the parties agreed to arbitrate the claims at issue, the scope of the arbitration clause, and the terms of the arbitration clause. (*Id.*) In determining the applicability of an arbitration agreement, the court should attempt to give effect to the parties' intentions, considering the agreement as a whole, and in light of the usual and ordinary meaning of the language of the agreement. (*Id.* at pp. 185-186.)

The petitioner bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence, while a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense, such as unconscionability. (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US)*,

LLC (2012) 55 Cal.4th 223, 236.) The trial court sits as the trier of fact, weighing all the affidavits, declarations, and other documentary evidence, and any oral testimony the court may receive at its discretion, to reach a final determination. (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.).

Application of the Federal Arbitration Act

The Federal Arbitration Act (“FAA”), which includes both procedural and substantive provisions, governs agreements involving interstate commerce.

The FAA states that written arbitration agreements “shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.” (9 U.S.C. § 2.) The Supreme Court has described this provision as reflecting both a “liberal federal policy favoring arbitration,” and the “fundamental principle that arbitration is a matter of contract.” (*AT & T Mobility LLC v. Concepcion* (2011) 563 U.S. 333.) The FAA permits agreements to arbitrate to be invalidated by “generally applicable contract defenses, such as fraud, duress, or unconscionability.” (*Id.*) When deciding whether a valid arbitration agreement exists, courts generally apply “ordinary state-law principles that govern the formation of contracts.” (*First Options of Chicago, Inc. v. Kaplan* (1995) 514 U.S. 938, 944.)

On a motion to compel arbitration, the court’s role is limited to deciding: “(1) whether there is an agreement to arbitrate between the parties; and (2) whether the agreement covers the dispute.” (*Brennan v. Opus Bank* (9th Cir. 2015) 796 F.3d 1125, 1130.) If these conditions are satisfied, the court is without discretion to deny the motion and must compel arbitration. (9 U.S.C. § 4; *Dean Witter Reynolds, Inc. v. Byrd* (1985) 470 U.S. 213, 218 [“By its terms, the [FAA] leaves no place for the exercise of discretion by a district court, but instead mandates that district courts shall direct the parties to proceed to arbitration.”].) “[T]he party resisting arbitration bears the burden of proving that the claims at issue are unsuitable for arbitration.” (*Green Tree Fin. Corp. v. Randolph* (2000) 531 U.S. 79, 91.)

Defendants contend that the FAA applies because Kaiser’s agreements affects interstate commerce. Defendants present the declaration of Timothy Everett, the Vice President of Financial Planning & Analysis for Kaiser Foundation Health Plan, Inc., who declares: “Large quantities of the medical equipment, supplies, medications, computer systems, programs, telephones, and other communications and internet systems used at hospitals and medical offices operated by Health Plan, Hospitals, or SCPMG in Southern California are likewise purchased and shipped from sources outside of California. A large portion of the building materials and construction services which are used for the construction of such hospitals and medical offices are also procured from out of state sources.” (Decl. of Everett, ¶ 3). He also

declares: “Health Plan’s medical and hospital services agreements, through which Health Plan members are entitled to receive services, obligate Health Plan to provide or pay for certain medical services that a Health Plan member may require from providers outside the State of California, such as in emergency situations. Additionally, certain California members of Health Plan are enrolled pursuant to various federal government programs, such as those covering specified federal employees and Medicare-eligible individuals.” (Decl. of Everett, ¶ 4). See also *Toledo v. Kaiser Permanente Medical Group* (1997) 987 F.Supp.1174, 1180 [Kaiser agreement subject to FAA because “performance of the contract implicates interstate commerce in that many of Kaiser's physicians are recruited from out of state and many necessary supplies and medications are shipped from out of state”]).

The court finds that the FAA applies.

Arbitration Agreement

As to the existence of a signed agreement, the party seeking to enforce the arbitration agreement bears “the ultimate burden of proof, but the court [is] obliged to resolve the dispute using a three-step burden-shifting process.” (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755, citing to *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1056.) A moving party “can meet its initial burden by attaching to the petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature.” (See *Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165).

Defendants contend that Health Plan entered into a Group Agreement and Evidence of Coverage with SISC Self Insured Schools of California (“Agreement/EOC”) effective October 1, 2021 through September 30, 2022 through which Health Plan offered to arrange hospital and medical services for eligible employees of Moreno Valley Unified School District, including Plaintiff Jennifer Dieckman. Dieckman has been enrolled as a Health Plan member under the SISC Agreement EOC from December 1, 2011 continuously through the present time. (Decl. of Adkins, ¶¶ 3-5). Plaintiff Jennifer Dieckman enrolled her spouse, Plaintiff Earl Dieckman II, as Health Plan spouse/member under the SISC Agreement/EOC effective November 1, 2021 and he remains so enrolled through the present time. (Decl. of Adkins, ¶ 5, Ex. G).

The SISC Agreement/EOC contains a binding arbitration provision (the “Arbitration Agreement”).

The Arbitration Agreement states, in part:

Scope of arbitration Any dispute shall be submitted to binding arbitration if all of the following requirements are met: ...The claim arises from or is related to an alleged violation of any duty

incident to or arising out of or relating to this EOC or a Member Party's relationship to Kaiser Foundation Health Plan, Inc. (Health Plan), including any claim for medical or hospital malpractice (a claim that medical services were unnecessary or unauthorized or were improperly, negligently, or incompetently rendered), for premises liability, or relating to the coverage for, or delivery of, services or items, irrespective of the legal theories upon which the claim is asserted ... The claim is asserted by one or more Member Parties against one or more Kaiser Permanente Parties or by one or more Kaiser Permanente Parties against one or more Member Parties ... Governing law does not prevent the use of binding arbitration to resolve the claim

...

As referred to in this "Binding Arbitration" section, "Member Parties" include:... A Member ... A Member's heir, relative, or personal representative ... Any person claiming that a duty to him or her arises from a member's relationship to one or more Kaiser Permanente Parties... "Kaiser Permanente Parties" include:... Kaiser Foundation Health Plan, Inc... Kaiser Foundation Hospitals... The Permanente Medical Group ... Southern California Permanente Medical Group... Any Southern California Permanente Medical Group or The Permanente Medical Group physician... Any employee or agent of any of the foregoing

(Decl. of Adkins, ¶ 2, Ex. A)

The enrollment applications were signed by Jennifer Dieckman in 2011, 2019 and 2021. (Decl. of Adkins, ¶ 6, Exs. E, F, and G). In the application, right above her signature line, it states: **"D. Kaiser Foundation Health Plan Arbitration Agreement"**

I understand that....any dispute between myself, my heirs, relatives or other associated parties on the one hand and Kaiser Foundation Health Plan, Inc. (KFHP), any contracted health care providers....or other associates parties on the other hand, for alleged violation of any duty arising out of or related to membership in KFHP, including any claim for medical or hospital malpractice...for premises liability, or relating to the coverage for, or deliver of, services or items, irrespective of legal theory, must be decided by binding arbitration under California law and not by lawsuit...I understand that the full arbitration provision is contained in the *Evidence of Coverage*."

(Decl. of Adkins, ¶ 6, Exs. E, F, and G).

In their Opposition, Plaintiffs contend that Earl Dieckman III did not sign the Arbitration Agreement, and, therefore, it is unenforceable as to him. However, Defendants contend that his claims are subject to arbitration under his spouse's agreement to arbitration and enrollment of her husband as a member.

“Generally, a person who is not a party to an arbitration agreement is not bound by it.” (*Goldman v. Sunbridge Healthcare, LLC* (2013) 220 Cal.App.4th 1160, 1169.) “But as discussed, the case law has recognized a number of instances in the health care setting in which agreements to arbitrate have bound nonsignatory third parties, including children both born and not yet born, spouses, and employees who are the beneficiaries of health care agreements between an employer and a group health plan.” (*Ruiz v. Podolsky* (2010) 50 Cal.4th 838, 852).

In *County of Contra Costa v. Kaiser Foundation Health Plan, Inc.* (1996) 47 Cal.App.4th 237, the court held: “A spouse must arbitrate a wrongful death claim when his or her decedent spouse applied for health insurance for both of them and the application contained an arbitration clause.” (*Id.* at 243 [citing *Hawkins v. Superior Court* (1979) 89 Cal.App.3d 413, 416–419]). Furthermore, “[w]hen an unmarried pregnant woman signs an arbitration agreement with her physician, the child's father must also arbitrate a medical malpractice cause of action related to the child's birth.” (*Id.* at 243).

Here, both Plaintiffs hold a common-plan membership. In *Ruiz v. Podolsky* (2010) 50 Cal.4th 838, the court made a distinction between “the health plan cases, in which one or more of the family members asserting the wrongful death claim belong to the same health plan as the decedent, and in which the decedent signed the arbitration agreement on behalf of himself and those other family members” and “when a wrongful death or loss of consortium claim is asserted, but none of the plaintiffs are bound to the arbitration agreement by common plan membership.” (*Id.* at 846).

Accordingly, the court finds that both Plaintiffs are bound by the Arbitration Agreement.

The Arbitration Agreement Covers the Dispute at Issue

The Arbitration Agreement applies to an alleged violation of any duty incident to or arising out of or relating to this EOC or a Member Party’s relationship to Kaiser Foundation Health Plan, Inc. (Health Plan), including any claim for medical or hospital malpractice (a claim that medical services were unnecessary or unauthorized or were improperly, negligently, or incompetently rendered), for premises liability, or relating to the coverage for, or delivery of, services or items, irrespective of the legal theories upon which the claim is asserted.

Plaintiffs’ First Amended Complaint asserts causes of action for wrongful death, medical malpractice, professional negligence, negligent hiring and retention, breach of contract, breach of covenant of good faith and fair dealing, breach of fiduciary duty, negligent infliction of emotional distress, fraud, negligent misrepresentation, Confidentiality of Medical Information (CMIA) violations, civil rights violations,

Consumers Legal Remedies Act violations, and interference with disposition of human remains.

All of Plaintiffs' claims relate to the delivery of Plaintiffs' stillborn infant son, the medical records, and the disposition of their son's remains. Plaintiffs contend that the Arbitration Agreement should not cover the intentional torts asserted by Plaintiffs (civil rights claims, consumer claims, unfair competition claims, Bane Act claims, remains-handling claims, concealment claims, and records-alteration claims). However, case law has stated otherwise. In *Saheli v. White Memorial* (2018) 21 Cal.App.5th 308, 331, the court held that an agreement to arbitrate Bane Act claims were enforceable under the FAA. In *Herrera v. Superior Court* (1984) 158 Cal.App.3d 255, 263-264, the court held that claims for fraud, assault and battery, and intentional infliction of emotional distress against a medical professional could be subject to arbitration. "Plaintiff's sole contention regarding the arbitration provision is that intentional torts are not subject to arbitration. We have concluded otherwise." (*Id.* at 264).

Accordingly, the court finds that the Arbitration Agreement covers the disputes at issue.

Prior Arbitration

Both parties contend that Arbitration has already been commenced for this action.

Plaintiffs contend that they submitted to arbitration, and that the parties participated in arbitration for "approximately eighteen months" and no award was issued. Plaintiffs cite to Rule 24 of the Rules for Kaiser Permanente Member Arbitrations Administered by the Office of the Independent Administrator, which provides:

- a. Unless Rule 24.b, 24.c, or 33 applies, a case must close within eighteen (18) months of the Independent Administrator receiving the Demand for Arbitration and filing fee or granting the fee waiver. The Parties and Arbitrator are encouraged to complete the case in less time than the maximums set forth in the Rules, if that is consistent with a just and fair result.

Subdivisions (b) and (c) address cases that have been designated complex or extraordinary, and Rule 33 addresses expedited matters.

Plaintiffs terminated arbitration and removed their claims to Superior Court. However, Plaintiffs do not state when arbitration commenced, when the arbitrator was appointed, when they withdrew, and whether there was any designation of complex or extraordinary. Rather, they

only stated that they participated in arbitration for “approximately eighteen months.”

In support of their Reply, Defendants contend that Plaintiffs unilaterally terminated arbitration and filed this action, and that arbitration dates had been set for January 26-30, 2026 before Arbitrator Dana Susson. (Decl. of Condon, ¶ 2).

Ultimately, Plaintiffs failed to show that they were in arbitration for 18 months, or that Defendants otherwise breached the terms of their own Arbitration Agreement with regard to any deadline. The court notes that in Plaintiffs’ First Amended Complaint, Plaintiff alleges that Plaintiffs served a Demand for Arbitration via certified mail to Kaiser Defendants on or about August 8, 2024, per the Kaiser Rules of Arbitration. (FAC, ¶ 24). The declaration of Mr. Condon shows that Plaintiffs/Claimants filed a notice of removal to Superior Court on July 21, 2025. Plaintiffs filed this action on June 6, 2025. The court does not understand how the parties participated in arbitration for “approximately 18 months” prior to the initiation of this action. Accordingly, the court rejects Plaintiffs’ argument.

Waiver

Plaintiffs also contend that Defendants waived their right to bring this Petition because they filed answers to the first amended complaint on 12/31/25, and waited “approximately 60 days” before filing the Petition. However, Defendants filed this Petition approximately 42 days after their answers to the FAC- not 60 days.

In any event, “[t]o establish waiver under generally applicable contract law, the party opposing enforcement of a contractual agreement must prove by clear and convincing evidence that the waiving party knew of the contractual right and intentionally relinquished or abandoned it.” (*Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 584 [citing to *Lynch v. California Coastal Com.* (2017) 3 Cal.5th 470, 475]).

In *Quach*, the Defendant moved to compel arbitration after 13 months of discovery in the action. The court held that the defendant had waived its right to compel arbitration by that point: “Indeed, on this record, Commerce Club's position, if accepted, would surely create undue delay and gamesmanship going forward. Rather than moving to compel arbitration at the outset of the case, Commerce Club answered the complaint and propounded discovery requests, suggesting it did not intend to seek arbitration. Although Commerce Club asserted in its answer that Quach should be compelled to arbitrate, its counsel did not otherwise raise the issue with Quach's counsel or with the court. Instead, it affirmatively indicated its preference for a jury trial and actively pursued discovery.” (*Id.* at 586).

Plaintiffs have not shown any action by Defendants demonstrating their intentional relinquishment of their right to arbitrate. For example, there is no evidence that they partook in any discovery, or made any filing other than their answers, which were only filed less than two months prior to the Petition. Furthermore, Defendants asserted their right to arbitrate this matter as an affirmative defense in their answers. (See ROAs 32, 35, 38 and 41).

The court finds that there is no waiver.

Mutual Assent

Next, Plaintiffs contend that there was no mutual assent or knowing, voluntary and informed jury waiver. However, “the language of the signed agreement is not ambiguous. It is an objective expression of the parties’ mutual assent to arbitrate.” *Martinez v. BaronHR, Inc.* (2020) 51 Cal.App.5th 962, 969). Plaintiff signed the Arbitration Agreement, which unambiguously provided for a jury waiver, and, as discussed above, this agreement binds Plaintiff Earl Dieckman II as well. Accordingly, Plaintiffs cannot now contend that there was no mutual assent.

Unconscionability

Procedural and substantive unconscionability “must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability.” (*Armendariz v. Foundation Health Psychcare Servs., Inc.* (2000) 24 Cal.4th 83, 114.) However, they need not be present in the same degree. (*Id.*) A sliding scale approach is used and the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required. (*Ibid.*) “The party resisting arbitration bears the burden of proving unconscionability.” (*Pinnacle, supra*, 55 Cal.4th at 247.)

“Procedural unconscionability focuses on the elements of oppression and surprise.” (*Serafin v. Balco Properties Ltd., LLC* (2015) 235 Cal.App.4th 165, 177.) “Oppression arises from an inequality of bargaining power which results in no real negotiation and an absence of meaningful choice. Surprise involves the extent to which the terms of the bargain are hidden in a prolix printed form drafted by a party in a superior bargaining position.” (*Id.*) “[A] finding of procedural unconscionability does not mean that a contract will not be enforced, but rather that courts will scrutinize the substantive terms of the contract to ensure they are not manifestly unfair or one-sided.” (*Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1244.)

First, Plaintiffs contend that they did not have an opportunity to negotiate the terms or select the OIA rules. Adhesion contracts in an employment context typically contain some aspects of procedural unconscionability. (*Carbajal v. CWPSC, Inc.* (2016) 245 Cal.App.4th 227, 243.) The fact of an adhesion contract alone, however, does not render the arbitration

		clause unenforceable. (<i>Carmona v. Lincoln Millenium Car Wash, Inc.</i> (2014) 226 Cal.App.4th 74, 84 n.4 [adhesive contract is one factor court may consider in deciding degree of procedural unconscionability]; (<i>Lagatree v. Luce, Forward, Hamilton & Scripps</i> (1999) 74 Cal.App.4th 1105, 1127). Next, Plaintiffs contend they did not understand, and no reasonable patient would understand, that a health-plan enrollment form silently waives jury rights for catastrophic, intentional, statutory, and post-treatment cover-up claims. However, the court rejects this argument for the reasons previously stated. The Arbitration Agreement is not ambiguous, and Plaintiff knowingly signed it. Because there is a limited degree of procedural unconscionability as the Arbitration Agreement is a contract of adhesion, Plaintiffs must show a high degree of substantive unconscionability to support a finding that the provision is unenforceable. (<i>Armendariz, supra</i>, 24 Cal.4th at 114). With regards to substantive unconscionability, Plaintiffs argue that Defendants seek to compel Plaintiffs into a private forum created for Kaiser member disputes while leaving Plaintiffs to litigate overlapping claims, parties, and factual issues in Superior Court, that forces duplicative expense. But this argument does not apply here. Plaintiffs have not demonstrated that any of their claims are not subject to arbitration. Furthermore, Plaintiffs submitted to arbitration for all their claims, but unilaterally terminated it. Based on these arguments, the court finds that the Arbitration Agreement is not unenforceable due to unconscionability. Accordingly, the motion is GRANTED. The court will STAY this action pending resolution of the parties' arbitration. (<i>See</i> Code Civ. Proc., § 1281.2.) The court sets a Status Conference Re: Status of Arbitration for May 06, 2027, at 09:00 am, in this department. Defendants to give notice.
3	CA Billing, LLC vs. Hillis	Defendants Oceanfront Recovery at Laguna Beach, LLC and Robert Hillis demur to the second cause of action in the First Amended Complaint ("FAC") filed by Plaintiff CA Billing, LLC. For the following reasons, the demurrer is OVERRULED. Defendants shall answer within 10 days. <u>General standard on a Demurrer</u> In ruling on a demurrer, a court must accept as true all allegations of fact contained in the complaint. (<i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311,

318.) A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (*Cundiff v. GTE Cal., Inc.* (2002) 101 Cal.App.4th 1395, 1404-05.)

A demurrer does not lie to a portion of a cause of action. (*PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682.) "[A] demurrer cannot rightfully be sustained to part of a cause of action or to a particular type of damage or remedy." (*Kong v. City of Hawaiian Gardens Redevelopment Agency* (2002) 108 Cal.App.4th 1028, 1047.)

Merits

The essential allegations for a fraud claim include "(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 974.) Facts must be plead with particularity, and this requirement "necessitates pleading *facts* which 'show how, when, where, to whom, and by what means the representations were tendered.'" (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645, italics in original.)

"Promissory fraud" is "a subspecies of the action for fraud and deceit. A promise to do something necessarily implies the intention to perform; hence, where a promise is made without such intention, there is an implied misrepresentation of fact that may be actionable fraud." (*Lazar, supra*, 12 Cal.4th at p. 638.) Its elements are "(1) a promise made regarding a material fact without any intention of performing it; (2) the existence of the intent not to perform at the time the promise was made; (3) intent to deceive or induce the promisee to enter into a transaction; (4) reasonable reliance by the promisee; (5) nonperformance by the party making the promise; and (6) resulting damage to the promise[e]." (*Rossberg v. Bank of America, N.A.* (2013) 219 Cal.App.4th 1481, 1498.) "As with any other form of fraud, each element of a promissory fraud claim must be alleged with particularity." (*Ibid.*; see *Beckwith v. Dahl* (2012) 205 Cal.App.4th 1039, 1059-1060.)

The specificity requirement is not absolute. Less specificity is required when "it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy," and because "less particularity is required when the facts lie more in the knowledge of the opposite party." (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 217.)

The FAC pleads two distinct fraud theories within the second cause of action: 1) fraudulent inducement at contract formation in December 2019. (FAC, ¶¶ 24-30.), and 2) a continuing course of false assurances made after Oceanfront fell behind on payments in 2021, alleged to have

induced Plaintiff to keep performing. (FAC, ¶¶ 31-34.) The amendments cure the Court’s concerns as to the second, but not fully as to the first.

2021-2023 Representations

With respect to the 2021 through 2023 representations, the FAC now alleges that Oceanfront’s employee Keenen Diamond, writing at Hillis’ direction, emailed Abdul Ahmed on February 28, 2023 that he would “get 3 invoices paid in next 30 days”; that Diamond emailed Abdul Ahmed and Ricky Bui on March 22, 2023 that “AR is good” and that “2-3 [invoices will be paid] by end of month”; and that Diamond emailed Ricky Bui, Cody Parks and Abdul Ahmed on October 4, 2022 that Oceanfront would pay current invoices on time “plus extra each month” and “will get it taken care of.” (FAC, ¶¶ 32-33.) The FAC further alleges these representations were made “orally during calls and meetings and in follow-up written communications.” (FAC, ¶ 31.)

These allegations identify the speaker, the recipients, the dates, the means, and the substance of each representation, and so plead facts showing “how, when, where, to whom, and by what means the representations were tendered.” (*Lazar, supra*, 12 Cal.4th at p. 645.)

Defendants do not contend that these particular allegations lack specificity. Their memorandum describes the three emails accurately in a footnote and makes no argument about their particularity. Defendants argue instead that representations made in 2022 and 2023 are “at best, future promises” that cannot support a fraud claim because they postdate formation. That argument reaches only the first theory. The FAC alleges a second, independent act of reliance: that Plaintiff continued providing services it would otherwise have discontinued. (FAC, ¶¶ 31-34.)

Defendants’ reliance on *Tenzer* is misplaced. *Tenzer* holds that nonperformance alone will not establish fraudulent intent, but the same page collects the circumstances from which such intent may be inferred, including “his continued assurances after it was clear he would not perform.” (*Tenzer v. Superscope, Inc.* (1985) 39 Cal.3d 18, 30.) The FAC seems to allege the same. *Riverisland*, cited alongside *Tenzer*, is a parol evidence case decided on summary judgment; it does not address pleading standards, and at the page cited it summarizes *Tenzer*. *Schied*, which Defendants cite for waiver by affirmance, was decided after trial and holds that whether a party’s conduct waives asserted fraud “is a problem of fact to be determined by the trial court or jury.” (*Schied v. Bodinson Mfg. Co.* (1947) 79 Cal.App.2d 134, 143.) Waiver is an affirmative defense not resolvable on demurrer.

2019 Fraudulent Inducement

Defendants’ arguments regarding the December 2019 representations are stronger. Paragraph 24 still does not allege how or

where those representations were made; it alleges only that “Hillis made representations of material fact.” Paragraphs 27 and 28 still do not identify any specific statement made about Oceanfront’s financial condition. The Court’s concern about the date is cured: paragraph 24 now alleges late December 2019, consistent with the December 26, 2019 execution date alleged at paragraph 10.

As to concealment, Defendants overstate the law in arguing that a fiduciary relationship is required. There are “four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.” (*LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336, quoting *Heliotis v. Schuman* (1986) 181 Cal.App.3d 646, 651.) The parties’ contractual relationship supplies the transactional relationship those circumstances presuppose. Less specificity is also required of a nondisclosure claim, because the *Lazar* formulation is “intended to apply to affirmative misrepresentations” and it is “harder to apply this rule to a case of simple nondisclosure.” (*Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal.App.4th 1356, 1384.)

These deficiencies do not carry the demurrer. It is error to sustain a demurrer where the plaintiff has stated a cause of action under any possible legal theory (*Aubry, supra*, 2 Cal.4th at p. 967), and a demurrer does not lie to a portion of a cause of action (*PH II, supra*, 33 Cal.App.4th at p. 1682).

Defendants also do not sufficiently establish that Plaintiff’s fraud claim is barred by the statute of limitations. The Complaint was filed August 20, 2025. The representations alleged on October 4, 2022, February 28, 2023 and March 22, 2023 all fall within the three-year period. (Code Civ. Proc., § 338, subd. (d).) “[T]o prevail on a demurrer based on the statute of limitations, a defendant must establish the entire cause of action is untimely.” (*Pointe San Diego Residential Community, L.P. v. Procopio, Cory, Hargreaves & Savitch, LLP* (2011) 195 Cal.App.4th 265, 274.) And “[a] demurrer based on a statute of limitations will not lie where the action may be, but is not necessarily, barred,” and “the defect must clearly and affirmatively appear on the face of the complaint; it is not enough that the complaint shows that the action may be barred.” (*Committee for Green Foothills v. Santa Clara County Bd. of Supervisors* (2010) 48 Cal.4th 32, 42, quoting *Geneva Towers Ltd. Partnership v. City and County of San Francisco* (2003) 29 Cal.4th 769, 781.) It does not so appear here.

Uncertainty is listed as a ground for demurrer, but Defendants do not address that ground in their memorandum. Demurrers for uncertainty are disfavored, and are “granted only if the pleading is so

		incomprehensible that a defendant cannot reasonably respond.” (<i>Lickiss v. Financial Industry Regulatory Authority</i> (2012) 208 Cal.App.4th 1125, 1135 [agreeing that “demurrers for uncertainty are disfavored”].) They are strictly construed “because ambiguities can be clarified under modern discovery procedures.” (<i>Khoury v. Maly’s of California, Inc.</i> (1993) 14 Cal.App.4th 612, 616.) Defendants’ memorandum reflects a detailed understanding of the claim. Defendants shall give notice.
4	Li vs. Shen	The court GRANTS Plaintiff Hong Li’s motion for leave to file a proposed second amended complaint. <u>Standard on Motions for Leave to Amend</u> Civil Procedure Code Section 473(a)(1) provides that “[t]he court may . . . in its discretion, after notice to the adverse party, allow, upon any terms as may be just, an amendment to any pleading” The court’s discretion will usually be exercised liberally to permit amendment of the pleadings. (<i>Howard v. County of San Diego</i> (2010) 184 Cal.App.4th 1422, 1428.) <u>Procedural Requirements</u> A motion to amend a pleading before trial must: (1) include a copy of the proposed amendment or amended pleading, which must be serially numbered to differentiate it from previous pleadings or amendments; and (2) state what allegations in the previous pleading are proposed to be deleted/added, if any, and where, by page, paragraph, and line number, the deleted/additional allegations are located. (Cal. Rules of Ct., Rule 3.1324(a).) The motion must also be supported by a declaration that specifies: (1) the effect of the amendment; (2) why the amendment is necessary and proper; (3) when the facts giving rise to the amended allegations were discovered; and (4) the reasons why the request for amendment was not made earlier. (Cal. Rules of Ct., Rule 3.1324(b).) Here, Plaintiff complied with the procedural requirements of Rule 3.1324. (See Deng Decl. ¶¶ 2-8, Exs. A-B.) <u>Proposed SAC</u> The Proposed SAC adds Decedent’s two wrongful death heirs as Proposed Plaintiffs, deletes reference to dismissed defendants; and deletes dismissed causes of action. Plaintiff Li submits sufficient evidence to show the proposed plaintiffs consent to being joined as party plaintiffs. (See Deng Decl. ¶¶ 8-9.)

		The court finds Plaintiff's proposed SAC promotes resolution of the full dispute between the parties, complies with the relevant compulsory joinder statutes, and clarifies the remaining claims and defendants. No later than five (5) court days from the hearing, Plaintiff Li shall file and serve the Proposed SAC, which is attached as Exhibit A to the Deng Declaration. Clerk is ordered to give notice.
5	Provenzano vs. Oremor Automotive Group, LLC	The Court GRANTS Plaintiff ONM Environmental, Inc.'s motions to compel verified responses from Defendants Lithia Motors, Inc. dba Orange Coast Chrysler Dodge Jeep Ram Fiat's and FCA US LLC dba Stellantis North America to Form Interrogatories (Set One), Special Interrogatories (Set One), and Request for Production of Documents (Set One). The Court GRANTS Plaintiff ONM Environmental, Inc.'s motion to deem Requests for Admission (Set One) admitted by Defendants Lithia Motors, Inc. dba Orange Coast Chrysler Dodge Jeep Ram Fiat's and FCA US LLC dba Stellantis North America. A party may move for an order compelling responses to discovery at any time "[i]f a party to whom [discovery requests] are directed fails to serve a timely response." (Code Civ. Proc., §§ 2030.290(b), 2031.300(b).) For a motion to compel initial discovery responses, all a propounding party must show is that it properly served its discovery requests, that the time to respond has expired, and that the party to whom the requests were directed failed to provide a timely response. (<i>See Leach v. Superior Court</i> (1980) 111 Cal.App.3d 902, 905-906.) Code of Civil Procedure section 2033.280(b) provides that where a party to whom requests for admission are directed fails to serve a timely response, the propounding party "may move for an order that the genuineness of any documents and the truth of any matters specified in the requests be deemed admitted, as well as for a monetary sanction under Chapter 7 (commencing with Section 2023.010)." By failing to serve timely responses, the responding party waives any objection to the written discovery. (Code Civ. Proc., §§ 2030.290(a), 2031.300(a), 2033.280(a).) Here, the evidence establishes that Defendants failed to respond to the duly served discovery and therefore waived all objections. (<i>See Chavos Decl.</i> ¶¶ 3-8, Exs. 1-2.) There is no indication that Defendants served substantially compliant responses to the Requests for Admission before the hearing.

		Defendants Lithia Motors, Inc. dba Orange Coast Chrysler Dodge Jeep Ram Fiat's and FCA US LLC dba Stellantis North America SHALL serve verified responses, without objections, to Plaintiff's Form Interrogatories (Set One), Special Interrogatories (Set One), and Request for Production of Documents (Set One) within 15 days after service of this order. Defendants Lithia Motors, Inc. dba Orange Coast Chrysler Dodge Jeep Ram Fiat's and FCA US LLC dba Stellantis North America are HEREBY DEEMED to have admitted the truth of the matters specified in and the genuineness of the documents attached to Plaintiff's Requests for Admission (Set One). Plaintiff's request for sanctions against Defendants and their counsel is GRANTED in part. (<i>See</i> Code Civ. Proc., §§ 2023.010, 2030.290(c), 2031.300(c), 2033.280(c).) Defendant Lithia Motors, Inc. dba Orange Coast Chrysler Dodge Jeep Ram Fiat and its counsel are ordered to pay Plaintiff monetary sanctions in the total amount of \$1,590.00 within 30 days after service of this order. Defendant FCA US LLC dba Stellantis North America and its counsel are ordered to pay Plaintiff monetary sanctions in the total amount of \$1,590.00 within 30 days after service of this order. Plaintiff to give notice.